Ch. 14 HW #2

Principles of Microeconomics

November 20, 2025

Instructions

This is not the entirety of Ch. 14 HW #2. This is just the portion of the assignment that we started in class.

Problems

1. Buffy is thinking about opening an amulet store. She esstimates that it would cost $350,000 per year to rent the location and buy the merchandise. In addition, she would have to quit her $80,000 per year job as a vampire hunter.

   (a) Define **opportunity cost**.

   (b) What is Buffy's opportunity cost of running the store for a year?

   (c) Buffy thinks she can sell $400,000 worth of amulets in a year. What would her accountant consider the store's profit?

   (d) Should Buffy open the store? Explain.

   (e) How much revenue would the store need to generate for Buffy to earn positive economic profit?

2. A commercial fisherman notices the following relationship between hours spent fishing and the quantity of fish caught:

Hours	**Quantity of Fish (in pounds)**
0	0
1	10
2	18
3	24
4	28
5	30

   (a) What is the marginal product of each hour spent fishing?

   (b) Use these data to graph the fisherman's production function. Explain its shape.

(c) The fisherman has a fixed cost of $10 (his pole). The opportunity cost of his time is $5 per hour. Graph the fisherman's total-cost curve. Explain its shape.